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FIRST REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT, REQUEST FOR MODIFICATION OF PERFORMANCE CRITERIA, AND FINANCING ASSURANCES REVIEW, AND FINANCING ASSURANCES REVIEW—DEBT SUSTAINABILITY ANALYSIS

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Risk of external debt distress:	**Moderate**
Overall risk of debt distress	**Moderate**
Granularity in the risk rating	**Some space to absorb shocks**
Application of judgment	**No**

According to the updated Low-Income Country Debt Sustainability Framework (LIC DSF), the Democratic Republic of the Congo (DRC)'s debt-carrying capacity remains weak.[1] The DRC remains at a moderate risk of external and overall debt distress, with some space to absorb shocks. Weak revenue mobilization is a main determinant for the DRC's moderate risk of debt distress despite a low stock of external debt. Most external debt thresholds are breached under the stress tests, highlighting the country's vulnerability to external shocks, in particular regarding a shock to exports. Given limited buffers, prudent borrowing policies are essential by prioritizing concessional loans and strengthening debt management policies.

[1] DRC Composite Indicator (CI) score is 2.15, which corresponds to a weak debt-carrying capacity as confirmed by October 2021 WEO assumptions and 2020 Country Policy and Institutional Assessment (CPIA).

PUBLIC DEBT COVERAGE

1. Public and publicly-guaranteed (PPG) external and domestic debt covers debt contracted and guaranteed by the central government, the Central Bank of Congo (BCC), provinces, and part of state-owned enterprises (SOEs). The public debt department (Direction Générale de la Dette Publique, DGDP) under the Ministry of Finance publishes quarterly and annual reports on its website with information on domestic and external debt based on the residency criteria. The reports summarize the debt of the central government, debt of Sicomines (a joint venture between the Congolese government and Chinese investors) and Gécamines, guaranteed external debt of SOEs managed by the government, provinces (only the province of Maniema is missing, out of 26 provinces), and the BCC. Other public institutions are legally prevented from borrowing externally without approval, in addition to being unlikely to command market access without a government guarantee. However, the authorities do not receive any regular report from public institutions other than those named above. In light of this, the authorities are committed to improve quality of debt reporting, especially for SOEs, and are following up on recommendations from recent IMF technical assistance. Sicomines' infrastructure loans have a government guarantee which can only be called after 2050. Its debt is expected to be repaid by 2027 and is collateralized by Sicomines' earnings.[2] Sicomines also contracted a loan to finance the Busanga power plant to secure its electricity supply. Data on the debt of the private sector is scarce, and the private sector is believed not to be borrowing externally.

Text Table 1. Democratic Republic of the Congo: Coverage of Public and Publicly Guaranteed Debt and Parameters for Contingent Liability Shocks for the Tailored Stress Test

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	No

Public debt coverage

	Subsectors of the public sector	Check box
1	Central government	X
2	State and local government	X
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	X

Public debt coverage and the magnitude of the contingent liability tailored stress test

1	The country's coverage of public debt	The central, state, and local governments, central bank, government-guaranteed debt, non-guaranteed SOE debt		
		Default	Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0 percent of GDP	2	Some public institutions are not reporting to the DGDP.
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	0.5	Reflecting risks stemming from irregular data sharing with DGDP.
4	PPP	35 percent of PPP stock	0.00	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5	
	Total (2+3+4+5) (in percent of GDP)		7.5	

1/ The default shock of 2% of GDP will be triggered for countries whose government-debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.
Sources: Congolese authorities. IMF staff calculation.

[2] Box 1, Debt Sustainability Analysis, IMF Country Report No. 15/280.

BACKGROUND AND RECENT DEVELOPMENTS

2. Despite vast natural resources, DRC is one of the poorest countries in the world, and it displays many aspects of fragility as it remains prone to health and humanitarian crises and violent conflicts. The economy is highly dollarized, undiversified, and acutely vulnerable to commodity-price shocks and supply risks. The first ever peaceful presidential transition since independence took place in January 2019. The government is keen to strengthen engagement with the international community.

3. While some macroeconomic stability has been secured in recent years, the economy remains highly vulnerable to shocks. After decelerating GDP growth of 1.7 percent in 2020, growth is expected to rebound to 5.4 percent in 2021 supported by higher-than-envisaged mining production and a stronger performance in non-extractive growth. After a deficit of 1.1 percent of GDP in 2020, the deficit is expected to widen to 1.8 percent of GDP in 2022 and remain at that level in 2023, against the backdrop of large development needs. Spending will be partly financed by use of $724 million (1.2 percent of GDP) of the SDR allocation for budget financing in 2022-23 to support the ongoing economic recovery.[3] International reserves have recovered strongly from around 2 weeks of imports in early 2021 and are expected at about 7 weeks of imports by end-2021.

4. External arrears partly date from pre-HIPC Completion Point, with some Gecamines arrears adding to the stock. External arrears amount to $287 million.[4] Four non-Paris Club creditors hold claims against the DRC and are in negotiation or under reconciliation process. The authorities sent correspondence to Angola, and draft correspondence has been prepared for Rwanda and Namibia. The remaining external arrears are claims by commercial creditors. Amounts have been reconciled but there are cases under litigation. Commercial arrears have increased due to the addition of Gecamines' arrears. A large part of it consists of debt owed to a creditor under U.S. sanctions. Arrears associated to a loan to the Export Credit Guarantee

Text Table 2. DRC: External Arrears as of End-2020

	Total	
	Nominal (US$ mln)	Percent of GDP
Total External Arrears	287	0.6
Bilateral creditors	48	0.1
Commercial creditors	239	0.5
Memo item:		
GDP	48,707	

Sources: Congolese authorities; IMF staff estimates.

[3] The authorities will split the SDR allocation (about $1.45 billion) to build reserves and to finance investment projects in equal parts. To this end, the authorities noted that the transfer of half of he SDR allocation to the Ministry of Finance (MoF) is consistent with their domestic institutional framework and a memorandum of understanding would be signed where the MoF assumes its financial responsibilities regarding half of the SDR allocation.

[4] In accordance with the LIC DSF Guidance Note, the arrears do not trigger a determination of an in-debt-distress risk rating when they are *de minimus* cases where arrears are less than 1 percent of GDP. For more details see paragraph 15.

Department (ECGD) have been canceled. A 5-year repayment schedule of external arrears has been assumed, starting in 2022.

5. In 2021, the public debt ratio is expected to decrease by about 0.3 percentage points vis-à-vis 2020 to 22.8 percent of GDP. Compared to the projection at time of the request for an ECF-supported arrangement approved in July 2021, external public debt in 2021 is projected to increase by 1.2 percentage points, with about half of public external debt owed to official creditors. Domestic debt in 2021 relative to GDP remains unchanged, with the increase in nominal CF terms mostly reflecting domestic arrears and the recording of bank loans under the now phased-out CREDOCs ("Credit Documentaire"), a scheme which used central bank's deposits as guarantees for central government loans. A profile of the debt holders in line with the new requirements of the Debt Limits Policy is shown in Text Table 3.[5] Sicomines owns about 40 percent of external debt for mining and infrastructure projects, to be repaid with dividends over 10 and 15 years, respectively.

6. The overall domestic debt is composed of arrears and short-term T-bills. Most of the domestic debt stock consists of arrears, mainly composed of reconciled arrears and VAT arrears to exporters (Text Table 4). Reconciled arrears have been audited and include financial debt, social debt, judiciary debt, suppliers, and rent and other services. There is also a significant stock of about $3 billion of arrears to be audited, although according to the authorities only 20 percent of audited arrears became validated in the past. Net issuance of treasury bills, all denominated in local currency and U.S. dollar-indexed, was negative in 2020 with an outstanding stock equivalent to $55 million at end-2020; bank loans increased via the CREDOCS scheme, now phased out.

[5] The deferred debt service under the Debt Service Suspension Initiative (DSSI) is estimated at $309.2 million between May and December 2020 and $279.3 million between January and June 2021, respectively.

Text Table 3. Democratic Republic of the Congo: Decomposition of Public Debt and Debt Service by Creditor 2020-22[1]

	Debt Stock			Debt Service					
	2020			2020	2021	2022	2020	2021	2022
	(in M US$)	*(Percent total debt)*	*(Percent GDP)*	*(in M US$)*			*(Percent GDP)*		
Total	11,233.1	...	23.1	572.9	974.6	1,203.9	1.2	1.7	2.0
External	7,395.7	65.8	15.2	427.6	512.3	618.6	0.9	0.9	1.0
Multilateral creditors	2,429.8	21.6	5.0	87.1	142.9	165.6	0.2	0.3	0.3
IMF	27.3	0.2	0.1						
World Bank	1,501.8	13.4	3.1						
AfDB (incl. African Development Fund)	368.7	3.3	0.8						
Other Multilaterals	531.9	4.7	1.1						
o/w: European Investment Bank	74.5	0.7	0.2						
Arab Bank for Economic Development in Africa	36.8	0.3	0.1						
Bilateral creditors	3,826.0	34.1	7.9	260.9	318.3	377.6	0.5	0.6	0.6
Paris Club	61.2	0.5	0.1	11.6	10.1	18.5	0.0	0.0	0.0
o/w: France	61.0	0.5	0.1						
Brazil	0.2	0.0	0.0						
Non-Paris Club	3,764.8	33.5	7.7	46.8	41.3	92.1	0.1	0.1	0.2
o/w: Exim Bank of China	3,254.7	29.0	6.7						
Exim Bank India	164.2	1.5	0.3						
Bonds	-	-	-	-	-	-	-	-	-
Commercial creditors	1,139.9	10.1	2.3	68.9	23.7	75.8	0.1	0.0	0.1
o/w: FG Hemisphere	93.2	0.8	0.2						
Financial Investment Holding	45.2	0.4	0.1						
Other international creditors	-	-	-	-	-	-	-	-	-
Domestic	3,837.4	34.2	7.9	145.3	462.3	585.3	0.3	0.8	1.0
o/w: T-Bills	55.0	0.5	0.1	n/a	n/a	n/a	n/a	n/a	n/a
o/w: Loans	241.8	2.2	0.5	n/a	n/a	n/a	n/a	n/a	n/a
Memo items:									
Collateralized debt	2,641.4	23.5	5.4						
Contingent liabilities[2]	n/a	n/a	n/a						
o/w: Public guarantees	n/a	n/a	n/a						
o/w: Other explicit contingent liabilities	n/a	n/a	n/a						
Nominal GDP	48,707	...	...	48,707	56,301	61,284	...	...	...

1/ As reported by Country authorities according to their classification of creditors, including by official and commercial. Debt coverage is the same as the DSA, except for the government's guaranteed debt.
2/ Data could not be confirmed with the authorities during the mission.

Text Table 4. Democratic Republic of the Congo: Total Domestic Debt, 2020

	Domestic Debt		
	Nominal in $ million	in percent of GDP	in percent of total domestic debt
Stock of Treasury bills and bank loans	296.8	0.6	7.6
Reconciled legacy arrears	1,888.8	3.9	48.4
Arrears from provinces	145.8	0.3	3.7
Arrears to oil companies	262.4	0.5	6.7
VAT arrears	1,306.4	2.7	33.5
Total	3,900.1	8.0	100.0

Sources: Congolese authorities and IMF calculations.

BACKGROUND ON MACROECONOMIC FORECASTS

7. The medium- and long-term projections underlying this DSA are underpinned by the macroeconomic framework of the first review of the ECF-supported arrangement.

- GDP growth is expected to pick up further in 2023-26 due to new mining projects, high commodity prices, and strong global demand for DRC's export commodities. These developments, in addition to positive developments in the services sector, would lead to a substantial increase in exports and imports in the medium term and improve the trade balance in the medium to long term.

- The fiscal policy stance is assumed to be roughly neutral during the program period and be supported by stronger financing. Ambitious public spending on education and infrastructure relies on the availability of additional external and domestic financing sources in the context of the catalytic role of the ECF-supported arrangement and domestic revenue mobilization efforts.[6] The latter will hinge on the authorities' plans to restore the VAT normal functioning, rationalize non-tax and parafiscal charges, streamline tax expenditures, and modernize and computerize revenue administration.

- The financial account strengthened due to sizable other investment inflows, including project financing. This supported the build-up of reserves, which in part is driving the residual change of external debt in Table 1. Multilateral and bilateral loans remain the main sources of debt financing. Multilateral and bilateral borrowing is assumed to amount to contracted amounts of $2.6 billion and $1.3 billion in 2021 and 2022, respectively, and decline to annual flows of around $1.0 billion over the medium term. Financial terms of new lending are assumed to remain largely concessional, with an increase of lending at non-concessional terms over the medium term. In 2021, financing is supported by prospects to contract an additional non-concessional loan of $50 million from BADEA for Kinshasa road infrastructure in 2021, in addition to existing borrowing plans.

- The share of domestic sources in total financing remains low at about 7 percent in 2021 but is projected to increase as domestic markets deepen and concessional financing gradually decline over the long terms. Realism tools largely suggest that staff forecasts are realistic, compared to empirical observations (Figure 4) and given the improved growth outlook.

[6] The ECF arrangement focus on three key areas, (i) stepping up domestic revenue mobilization through restoring VAT normal functioning, rationalizing non-tax and parafiscal charges, streamlining tax expenditures, and modernizing revenue administration; (ii) strengthening governance including natural resource management and transparency; and (iii) strengthening the monetary policy framework and the central bank's independence. See CR 21/168 for details on key policies under the ECF-supported arrangement.

Text Table 5. Democratic Republic of the Congo: Macroeconomic Forecast and Assumptions (comparison with last DSA)

	Real GDP Growth (percent change)		Revenue (excluding grants) growth 1/		Overall fiscal balance (percent of GDP)		Exports of goods and services growth		Imports of goods and services growth		Current account balance (percent of GDP)	
	CR 21/168	Current	CR 21/168	Current	CR 21/168	Current	CR 21/168	Current	CR 21/168	Current	CR 21/168	Current
2020	1.7	1.7	-4.9	-4.9	-2.1	-1.1	4.5	4.5	-4.2	-4.2	-2.2	-2.2
2021	4.9	5.4	41.3	49.0	-1.7	-1.8	46.8	59.0	45.1	51.3	-1.9	-0.5
2022	5.6	6.4	24.5	15.9	-1.2	-1.9	7.8	12.9	6.7	13.1	-1.8	-0.5
2023	6.6	6.9	21.9	24.1	-1.2	-2.0	7.0	11.9	6.7	11.4	-1.5	-0.8
2024	6.8	6.7	24.2	23.4	-1.1	-1.4	5.5	9.7	5.8	9.2	-1.3	0.1
2025	6.7	6.8	15.6	17.0	-1.1	-1.5	6.1	8.7	5.8	10.0	-1.0	0.0
avg. 2026-40	5.0	5.0	13.4	13.4	-0.8	-1.2	2.9	2.9	3.5	3.6	-2.3	-1.2

Sources: Congolese authorities and IMF staff calculations and projections.
1/ Adjusted with Sicomines and Gecamines for debt service ratios.

Box 1. Macroeconomic Assumptions for 2021–41

Real GDP growth. Growth is expected to average at about 5 percent over the medium term driven by sustained increases in mining production, supportive commodity prices, and a gradual recovery in investment.

Inflation. Inflation is projected to stabilize at 6 percent, in line with the BCC's target of keeping inflation below 7 percent, given the contained monetary policy based on the control of the money supply.

Primary balance. The overall fiscal deficit is projected to average 0.9 percent of GDP after 2027, with greater revenue mobilization and additional external financing helping to tackle large spending needs. Capital expenditure is expected to rise over the projection period and to gradually shift towards domestic financing. Revenues are computed as central government revenues plus revenue from SOEs assumed to be equivalent to their debt service flows.

Current account balance. The current account balance has been relatively stable although it is significantly driven by developments in the mining sector. Mineral exports constitute a significant portion of exports and are projected to improve, on average, over the medium term given new mining projects and high global demand for commodities. Imports are projected to rise gradually on the back of increasing demand for capital goods and intermediates for infrastructure investment. Overall, the current account deficit averages 1.2 percent of GDP over the medium term.

Financing. External financing is projected to consist of a mix of exceptional financing, concessional and non-concessional loans from multilateral, bilateral and commercial lenders, and FDI. Part of the financing of public investment projects would also stem from foreign grants. Additional government financing needs are assumed to be covered by treasury bill issuance in the domestic market. The financing mix is projected to tilt more towards domestic issuance over the projection period.

Gross official reserves. Gross official reserves are expected to gradually rise from about 2 weeks of imports in early 2021 to about 9 weeks of imports by 2024. The reserve buildup is crucially driven by stronger exports, financing under the program, and the 2021 SDR allocation.

8. The realism tool's outputs compare the DSA projections to cross-country experiences and to DRC's own historical experience (Figures 3 and 4).

- **Debt drivers:** External debt has remained low, with recent improved access to external financing resulting in a somewhat higher debt level than at time of the previous DSA.
- **Fiscal adjustment and growth.** The fiscal balance is contained over the medium term by improved revenue mobilization while growth picks up. The resulting improvement of the primary balance is still within the normal historical range. Growth in 2021 reflects the recovery from the Covid-19 pandemic in 2021 rather than fiscal multiplier effects, hence there exists a large divergence between the baseline projection and the multiplier-implied projection (Figure 4, top right panel). Investment has been revised across the macro framework to resolve an inconsistency from the savings-investments balance.

COUNTRY CLASSIFICATION AND DETERMINATION OF SCENARIO STRESS TESTS

9. DRC's debt carrying capacity is classified as weak (Text Table 6). The classification of debt carrying capacity is guided by the composite indicator (CI) score which is determined by the World Bank's CPIA and other macroeconomic variables, including forward-looking elements. DRC's CI score is 2.15, roughly unchanged compared to previous vintages. DRC is a fragile state and highly vulnerable to external shocks.

10. The debt sustainability analysis relies on six standardized stress tests and a tailored commodity price shock stress test. The standardized stress tests use the default settings. While DRC does not qualify for the market financing shock stress test, the commodity price shock stress test is relevant and helps assess the sensitivity of projected debt burden indicators to unfavorable developments in commodity export prices.[7]

[7] Under the debt sustainability framework, countries with commodity exports accounting for at least 50 percent of total exports of goods and services over the previous three-year period are subject to the stress test. Commodities accounted for about 97 percent of DRC's exports of goods and services over the period 2018-20.

Text Table 6. Democratic Republic of the Congo: Composite Indicator and Threshold Tables

Debt Carrying Capacity	Weak

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintages
Weak	Weak 2.15	Weak 2.14	Weak 2.12

Applicable thresholds

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	140
GDP	30
Debt service in % of	
Exports	10
Revenue	14

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	35

Note: The current vintage refers to the 2021 October WEO vintage; the previous vintages refer to the 2020 October and April 2021 WEO vintages.

EXTERNAL DEBT SUSTAINABILITY

Baseline

11. External debt remains sustainable in the baseline scenario, but with vulnerabilities stemming from some structural weakness. Generally, all external debt is owed or guaranteed by the government. With improved access to external financing, external debt is expected to increase to 16.5 percent of GDP in 2021, driven among other by Fund emergency assistance and the budgetary use of part of the SDR allocation. The present value of external debt is estimated at 12.7 percent of GDP, significantly lower than the benchmark, and reflects the extent of concessional debt, which is projected to remain broadly unchanged. Despite higher debt issuance, in part as result of the catalytic effect of the ECF-supported arrangement, and temporarily larger fiscal deficits, partly reflecting large investment needs financed by budget support facilitated by the SDR allocation, the medium-term trajectory of external and public debt, supported by the stronger macroeconomic outlook, does not give rise to debt sustainability concerns. The revision of the QPC on non-concessional borrowing from $300 to $320 million to accommodate an additional non-concessional loan from BADEA for Kinshasa road infrastructure in 2021 (in addition to a $270 million loan from EXIM India) does not substantially alter the assessment.

Alternative Scenarios and Stress Tests

12. Several external debt ratios breach their thresholds under the most extreme shock scenario of lower nominal exports (Figure 1).[8] The mining sector—the main source of exports—is exposed to commodity price swings. However, imports are tightly linked to exports, possibly offsetting that shock.

PUBLIC DEBT SUSTAINABILITY

Baseline

13. The overall risk of debt distress is projected to remain moderate. Baseline debt burden indicators do not breach the respective thresholds, which is the key factor in risk rating. Public debt is projected to be on a declining trajectory over the medium term. Public debt remains dominated by external debt. While treasury bill issuance remains low, recognition of accumulated arrears to suppliers and VAT arrears to the private sector remains high. The realization of guarantees and other possible contingent liabilities poses risks. The present value of debt relative to GDP remains below the benchmark and declines in the long term (Figure 2).

Alternative Scenarios and Stress Tests

14. Stress tests confirm DRC's vulnerability to shocks to exports and from the contingent liabilities test. As for external debt, the most extreme shock for public debt consists of a sharp decline in exports (Figure 2). As result of such shock, the present value of the debt ratio peaks at slightly more than 35 percent, the applicable benchmark. For the debt service-to-revenue ratio, a combined contingent liabilities shock presents the most extreme shock, with debt service peaking at around 40 percent of revenue.

RISK RATING AND VULNERABILITIES

15. The external and overall risk of debt distress for the DRC remain moderate (Text Table 7). Both external and overall public debt are at moderate risk of debt distress due to breaches of the thresholds under the stress tests. Over the duration of the ECF-supported arrangement, public debt metrics remain broadly unchanged, as stronger projected economic and revenue growth is offset by somewhat higher borrowing. External debt increases gradually relative to GDP and exports, albeit from a low base. At 0.6 percent of GDP, external arrears are below 1 percent of GDP qualifying as a *de minimis* case, not encumbering the risk rating consideration. Domestic arrears are considerable, and the authorities are enacting measures that lead to their reduction, in particular by restoring the VAT normal functioning.

[8] Nominal export growth (in USD) is set to its historical average minus one standard deviation, or to the baseline scenario's projection minus one standard deviation, whichever is lower in 2022–23, a shock that is likely unduly harsh to judge external financing needs as imports would very likely contract significantly under such a scenario. For the specification of other stress tests, see Table 8 in the 2018 Guidance Note.

Text Table 7. Democratic Republic of the Congo: Risk Ratings

	External debt distress rating	Overall Risk Rating
Mechanical external debt distress rating	Moderate	Moderate
Final external debt distress rating	Moderate	Moderate
Judgement was applied	No	No

16. There is only some space for additional borrowing without endangering DRC's risk rating (Figure 5). Low revenue mobilization remains a key challenge. Under the ECF-supported arrangement, revenues are projected to increase from 10 percent of GDP in 2019 to close to 14 percent in 2024, compared to an average of 20 percent of GDP in SSA.

17. Risks stem from export performance and DRC's ability to carry meaningful reforms. Export performance is the Achilles' heel of DRC's debt sustainability. A key risk is therefore the fluctuation in commodity prices. DRC should continue to build buffers by increasing international reserves, mobilizing revenue, and ensuring borrowed resources enhance inclusive growth. Borrowing should continue to rely on concessional sources.

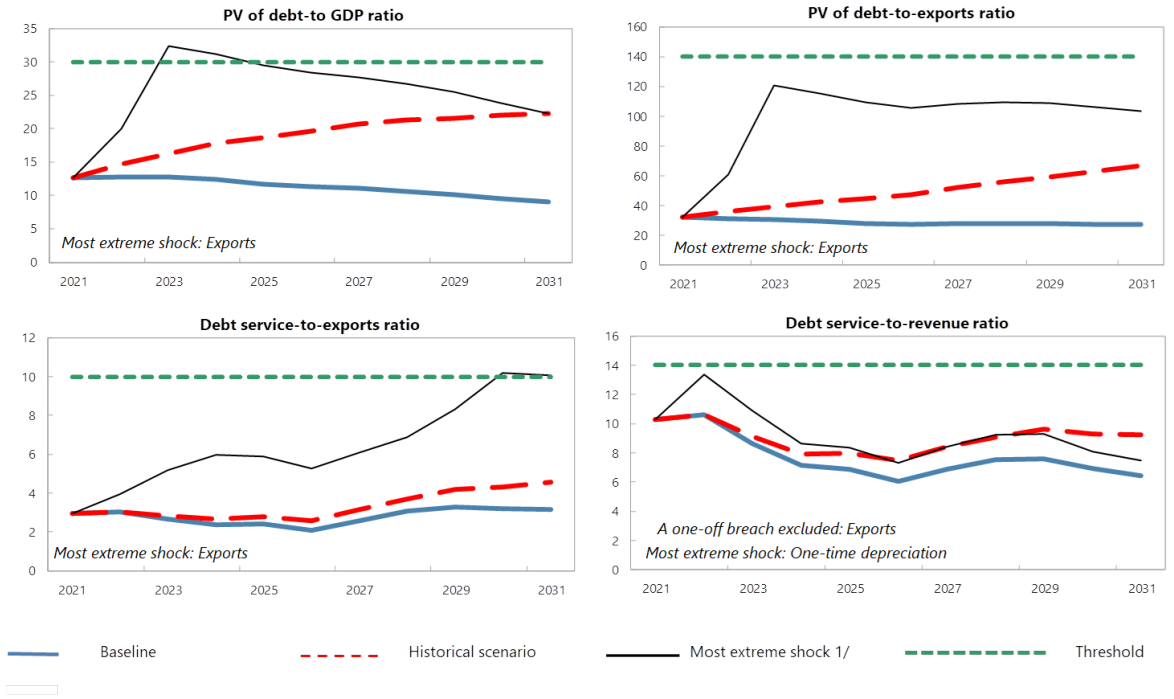
18. Despite low total public debt levels, low debt repayment capacity remains one of the key vulnerabilities. Key vulnerabilities to DRC's risk ratings are export performance, including from fluctuations in commodity prices, and fiscal revenue mobilization, as respective benchmarks are breached under shock scenarios. Despite gradually higher revenues projected under the ECF-supported arrangement[9], the debt service-to-revenue ratio suggests limited space for additional borrowing (Figure 5). This calls for prudent fiscal policies including constraining new borrowing. Structural reforms, in particular in revenue mobilization, public financial management, and growth potential-enhancing public investment remain key to DRC's debt carrying capacity.

AUTHORITIES' VIEWS

19. The authorities broadly agreed with the overall assessment of the country's debt sustainability. Debt carrying capacity is expected to improve against the backdrop of the ECF-supported arrangement. The authorities are committed to further improve debt management, including enhancing the reporting of SOE (with the inclusion of all SOE debt in public debt statistics by 2023) and publicly guaranteed debt. However, the authorities voiced concern over the use of an PV-based borrowing limit for reasons of limited capacity and ease of communication. To alleviate these concerns, a memo item on nominal borrowing was introduced in MEFP Table 1a.

[9] Under the ECF-supported arrangement, revenues are projected to increase from 10 percent of GDP in 2019 to close to 14 percent in 2024, compared to an average of 20 percent of GDP in SSA.

Figure 1. Democratic Republic of the Congo: Indicators of Public and Publicly Guaranteed External Debt under Alternatives Scenarios, 2021–31



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	Yes	
Natural disaster	n.a.	n.a.
Commodity price	Yes	Yes
Market financing	n.a.	n.a.

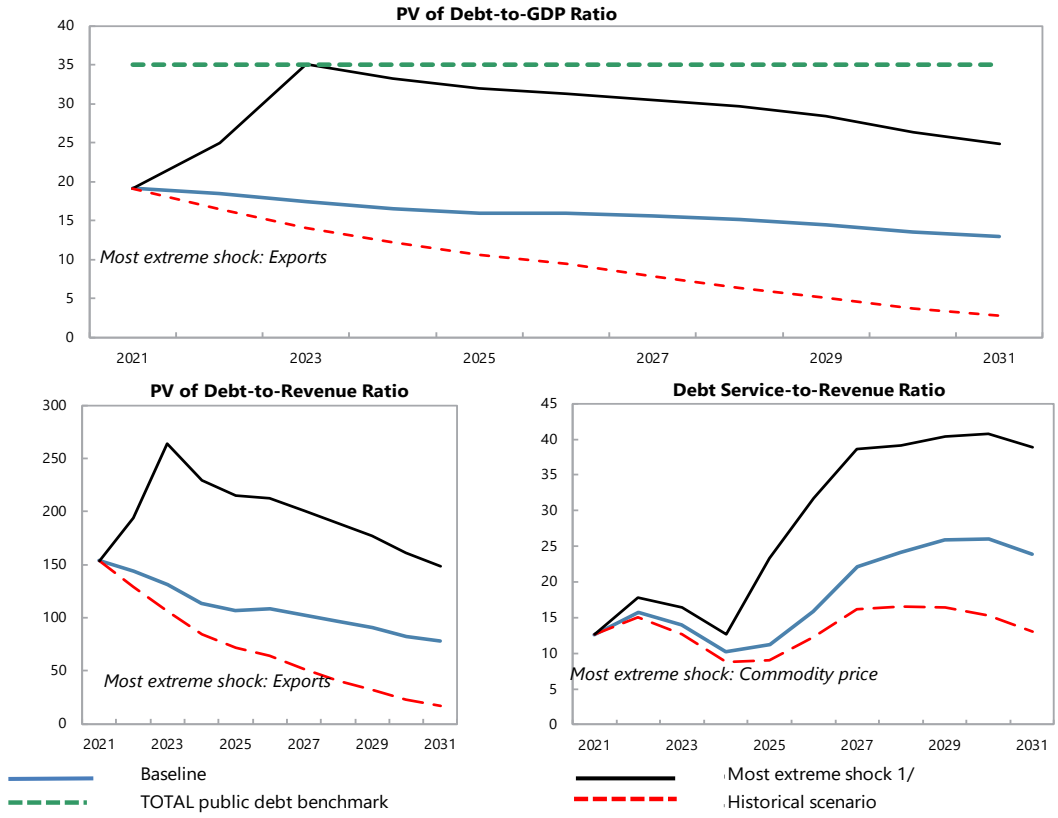
Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	2.1%	2.1%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	29	29
Avg. grace period	6	6

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio in or before 2031. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 2. Democratic Republic of the Congo: Indicators of Public Debt under Alternative Scenarios, 2021–31



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	54%	54%
Domestic medium and long-term	0%	0%
Domestic short-term	45%	46%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	2.1%	2.1%
Avg. maturity (incl. grace period)	29	29
Avg. grace period	6	6
Domestic MLT debt		
Avg. real interest rate on new borrowing	4.3%	4.3%
Avg. maturity (incl. grace period)	3	3
Avg. grace period	2	2
Domestic short-term debt		
Avg. real interest rate	-6.3%	0.0%

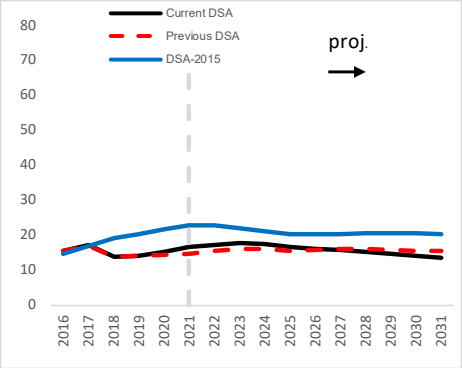
* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

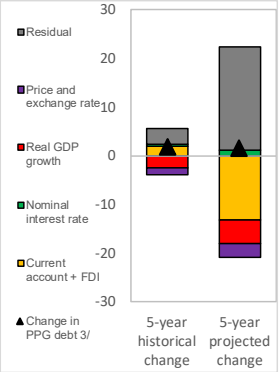
1/ The most extreme stress test is the test that yields the highest ratio in or before 2031. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 3. Democratic Republic of the Congo: Drivers of Debt Dynamics – Baseline Scenario

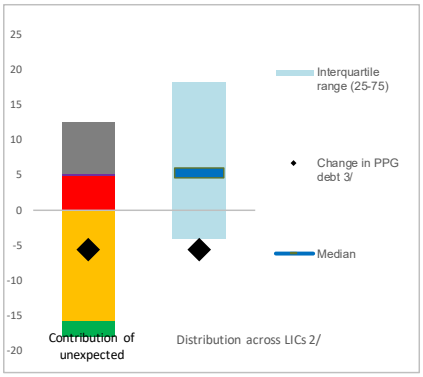
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

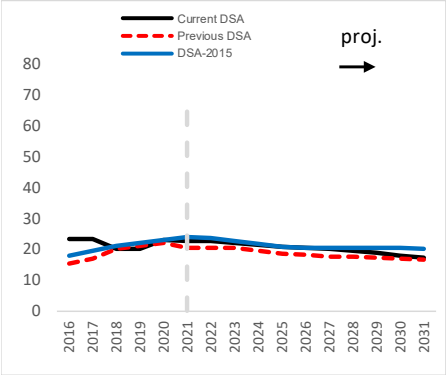


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

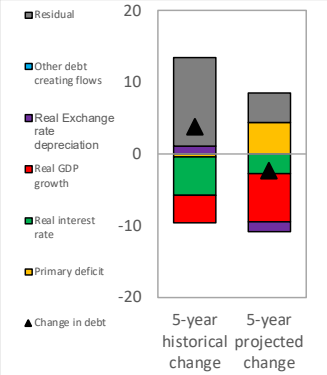


Public debt

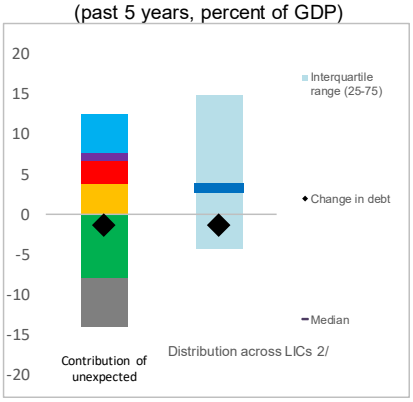
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



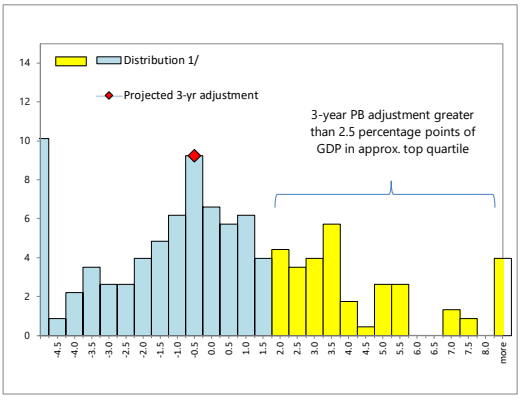
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

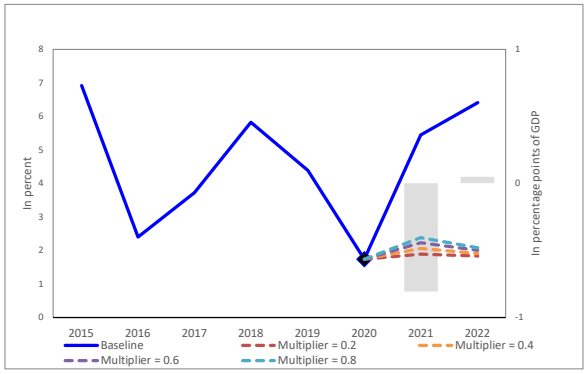
Figure 4. Democratic Republic of the Congo: Realism Tools[1]

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



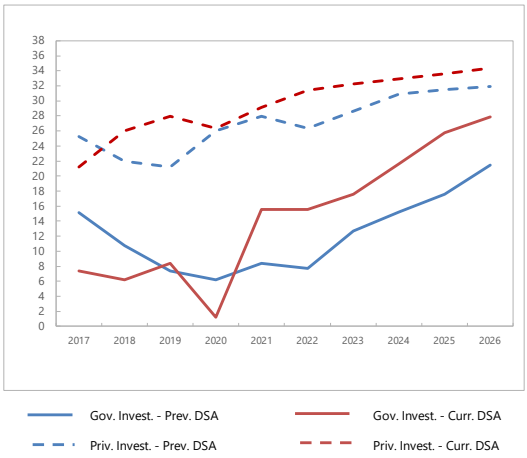
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/

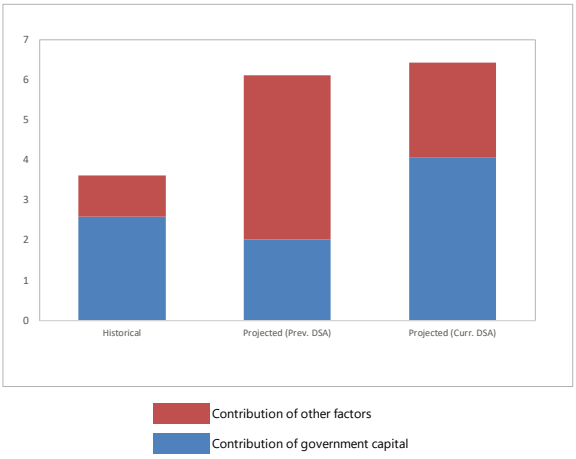


1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



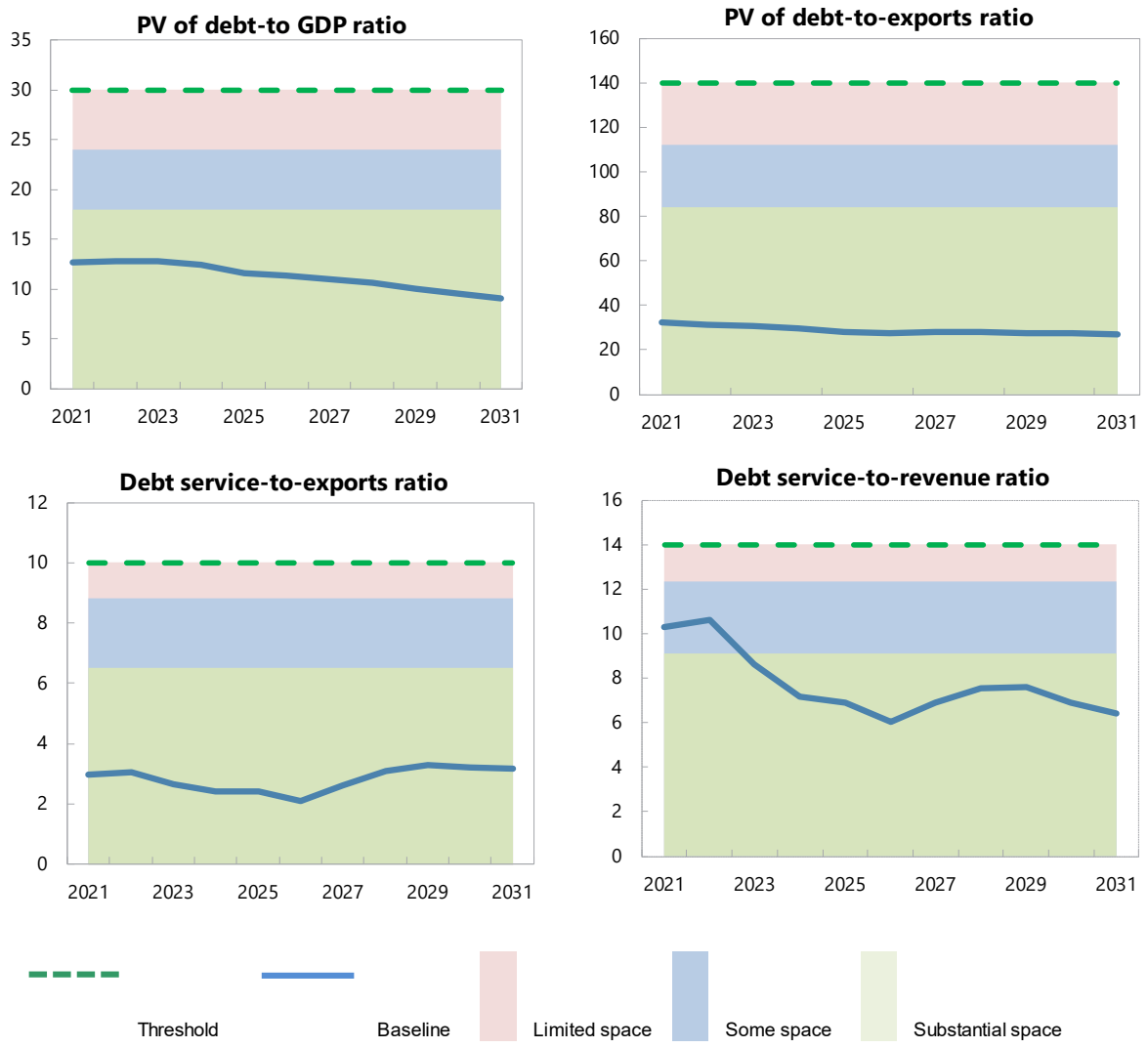
Contribution to Real GDP growth
(percent, 5-year average)



Sources: Country authorities; and staff estimates and projections.

[1] Public and private investment rates are preliminary and based on national accounts information. Some discrepancies with fiscal accounts information are expected.

Figure 5. Democratic Republic of the Congo: Qualification of the Moderate Category 2021-31[1]



Sources: Country authorities; and staff estimates and projections.

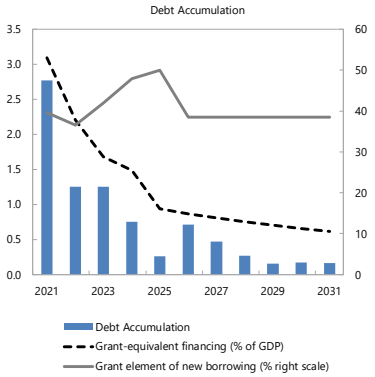
1/ For the PV debt/GDP and PV debt/exports thresholds, x is 20 percent and y is 40 percent. For debt service/Exports and debt service/revenue thresholds, x is 12 percent and y is 35 percent.

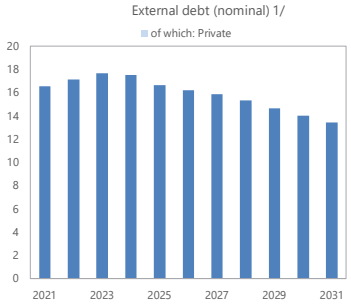
Table 1. Democratic Republic of the Congo: External Debt Sustainability Framework, Baseline Scenario, 2018-41

(in percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2031	2041	Historical	Projections
External debt (nominal) 1/	**13.7**	**14.0**	**15.2**	**16.5**	**17.1**	**17.6**	**17.5**	**16.6**	**16.2**	**13.4**	**14.0**	**15.3**	**15.9**
of which: public and publicly guaranteed (PPG)	**13.7**	**14.0**	**15.2**	**16.5**	**17.1**	**17.6**	**17.5**	**16.6**	**16.2**	**13.4**	**14.0**	**15.3**	**15.9**
Change in external debt	-3.4	0.4	1.1	1.3	0.6	0.5	-0.1	-0.9	-0.4	-0.6	-0.9		
Identified net debt-creating flows	**-2.8**	**-0.3**	**-0.3**	**-3.1**	**-3.4**	**-3.1**	**-3.8**	**-3.5**	**-3.2**	**-2.6**	**-0.1**	**-1.2**	**-3.1**
Non-interest current account deficit	**3.5**	**3.1**	**2.1**	**0.3**	**0.2**	**0.5**	**-0.3**	**-0.2**	**-0.1**	**0.5**	**3.3**	**4.3**	**0.1**
Deficit in balance of goods and services	3.6	3.7	1.3	-0.2	-0.2	-0.4	-0.6	-0.1	-0.4	0.3	2.7	**5.1**	**-0.2**
Exports	34.1	26.5	28.6	39.3	40.8	41.6	41.9	41.8	41.7	33.4	21.0		
Imports	37.7	30.2	29.9	39.1	40.7	41.2	41.3	41.7	41.3	33.7	23.7		
Net current transfers (negative = inflow)	-3.7	-3.0	-1.7	-2.4	-2.1	-1.8	-2.2	-2.4	-2.3	-2.2	-2.0	**-4.1**	**-2.2**
of which: official	-1.7	-0.8	-1.1	-1.4	-1.4	-0.9	-0.9	-0.8	-0.7	-0.6	-0.4		
Other current account flows (negative = net inflow)	3.6	2.4	2.5	3.0	2.5	2.8	2.5	2.3	2.6	2.4	2.5	**3.4**	**2.5**
Net FDI (negative = inflow)	**-3.0**	**-2.7**	**-3.1**	**-2.9**	**-2.9**	**-2.8**	**-2.6**	**-2.5**	**-2.3**	**-2.8**	**-3.0**	**-4.3**	**-2.6**
Endogenous debt dynamics 2/	**-3.3**	**-0.8**	**0.6**	**-0.5**	**-0.7**	**-0.8**	**-0.8**	**-0.9**	**-0.8**	**-0.4**	**-0.4**		
Contribution from nominal interest rate	0.0	0.1	0.1	0.2	0.3	0.2	0.2	0.2	0.2	0.3	0.2		
Contribution from real GDP growth	-0.8	-0.6	-0.3	-0.7	-1.0	-1.1	-1.1	-1.1	-1.0	-0.6	-0.6		
Contribution from price and exchange rate changes	-2.5	-0.3	0.7	...	...	...	...	...	...	...	...		
Residual 3/	**-0.6**	**0.7**	**1.5**	**4.4**	**4.0**	**3.6**	**3.6**	**2.6**	**2.8**	**2.0**	**-0.7**	**0.4**	**2.9**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**11.9**	**12.7**	**12.8**	**12.8**	**12.4**	**11.6**	**11.3**	**9.1**	**6.2**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**41.5**	**32.2**	**31.3**	**30.7**	**29.7**	**27.9**	**27.2**	**27.2**	**29.5**		
PPG debt service-to-exports ratio	**1.2**	**3.2**	**2.9**	**2.9**	**3.0**	**2.7**	**2.4**	**2.4**	**2.1**	**3.2**	**2.9**		
PPG debt service-to-revenue ratio	**4.2**	**7.9**	**8.9**	**10.3**	**10.6**	**8.6**	**7.1**	**6.9**	**6.0**	**6.4**	**2.9**		
Gross external financing need (Million of U.S. dollars)	3261.4	3347.1	2941.0	2613.7	2803.4	2974.3	2423.4	2631.5	2644.3	5311.4	16651.4		
Key macroeconomic assumptions													
Real GDP growth (in percent)	5.8	4.4	1.7	5.4	6.4	6.9	6.7	6.8	6.6	4.8	4.3	**5.7**	**5.7**
GDP deflator in US dollar terms (change in percent)	17.3	2.4	-5.0	9.6	2.3	2.7	2.2	2.0	2.2	2.2	2.1	**2.9**	**2.9**
Effective interest rate (percent) 4/	0.3	0.7	0.8	1.8	1.9	1.6	1.5	1.3	1.3	1.9	1.5	**0.5**	**1.6**
Growth of exports of G&S (US dollar terms, in percent)	38.0	-17.1	4.5	59.0	12.9	11.9	9.7	8.7	8.7	2.6	-0.9	**6.2**	**11.1**
Growth of imports of G&S (US dollar terms, in percent)	36.1	-14.5	-4.2	51.3	13.1	11.4	9.2	10.0	7.9	4.2	2.3	**4.5**	**10.6**
Grant element of new public sector borrowing (in percent)	...	...	...	39.5	36.6	42.0	47.9	50.0	38.5	38.5	38.2	**...**	**40.6**
Government revenues (excluding grants, in percent of GDP)	10.2	10.6	9.3	11.3	11.7	12.8	14.0	14.6	14.5	16.5	20.9	**11.6**	**14.3**
Aid flows (in Million of US dollars) 5/	537.6	994.3	885.9	2204.4	1511.7	1541.4	1613.5	1198.4	1198.4	1198.4	1198.4		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	3.1	2.2	1.7	1.5	0.9	0.9	0.6	0.3	**...**	**1.3**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	52.1	55.2	50.3	57.7	58.4	46.7	46.7	46.5	**...**	**50.4**
Nominal GDP (Million of US dollars)	47,146	50,399	48,707	56,301	61,284	67,261	73,349	79,865	87,064	121,972	243,033		
Nominal dollar GDP growth	24.1	6.9	-3.4	15.6	8.9	9.8	9.1	8.9	9.0	7.1	6.5	**8.8**	**8.7**
Memorandum items:													
PV of external debt 7/	...	...	11.9	12.7	12.8	12.8	12.4	11.6	11.3	9.1	6.2		
In percent of exports	...	...	41.5	32.2	31.3	30.7	29.7	27.9	27.2	27.2	29.5		
Total external debt service-to-exports ratio	1.2	3.2	2.9	2.9	3.0	2.7	2.4	2.4	2.1	3.2	2.9		
PV of PPG external debt (in Million of US dollars)			5786.0	7134.8	7838.0	8605.1	9109.4	9301.8	9868.4	11057.2	15028.2		
(PVt-PVt-1)/GDPt-1 (in percent)				2.8	1.2	1.3	0.7	0.3	0.7	0.2	0.1		
Non-interest current account deficit that stabilizes debt ratio	6.9	2.8	1.0	-1.0	-0.4	0.0	-0.2	0.7	0.3	1.1	4.1		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + Ɛα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, Ɛ=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

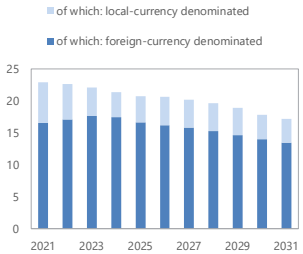
Table 2. Democratic Republic of the Congo: Public Sector Debt Sustainability Framework, Baseline Scenario, 2018–41

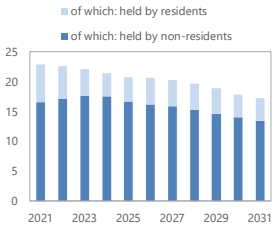
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2031	2041	Historical	Projections
Public sector debt 1/	**20.3**	**20.1**	**23.1**	**22.8**	**22.6**	**22.1**	**21.4**	**20.7**	**20.7**	**17.2**	**19.1**	**22.0**	**20.4**
of which: external debt	**13.7**	**14.0**	**15.2**	**16.5**	**17.1**	**17.6**	**17.5**	**16.6**	**16.2**	**13.4**	**14.0**	**15.3**	**15.9**
Change in public sector debt	-3.3	-0.2	3.0	-0.2	-0.2	-0.5	-0.7	-0.6	-0.1	-0.6	0.8		
Identified debt-creating flows	**-6.6**	**0.0**	**1.2**	**-1.3**	**-0.7**	**-0.8**	**-1.3**	**-1.1**	**-0.6**	**-0.5**	**1.0**	**-2.6**	**-0.7**
Primary deficit	**-0.6**	**1.2**	**0.3**	**1.2**	**1.1**	**1.1**	**0.4**	**0.6**	**1.0**	**0.4**	**1.8**	**-0.5**	**0.8**
Revenue and grants	11.3	11.4	9.5	12.5	12.9	13.3	14.5	14.9	14.7	16.7	21.0	**13.6**	**14.8**
of which: grants	1.1	0.8	0.2	1.2	1.2	0.5	0.5	0.3	0.2	0.2	0.1		
Primary (noninterest) expenditure	10.7	12.6	9.8	13.6	14.0	14.3	14.9	15.5	15.7	17.1	22.9	**13.1**	**15.6**
Automatic debt dynamics	**-6.0**	**-1.2**	**0.8**	**-2.5**	**-1.8**	**-1.8**	**-1.7**	**-1.7**	**-1.6**	**-1.0**	**-0.8**		
Contribution from interest rate/growth differential	-3.0	-1.2	-0.8	-2.5	-1.8	-1.8	-1.7	-1.7	-1.6	-1.0	-0.8		
of which: contribution from average real interest rate	-1.7	-0.4	-0.4	-1.3	-0.4	-0.4	-0.3	-0.3	-0.3	-0.2	0.0		
of which: contribution from real GDP growth	-1.3	-0.9	-0.3	-1.2	-1.4	-1.5	-1.4	-1.4	-1.3	-0.8	-0.8		
Contribution from real exchange rate depreciation	-3.0	0.0	1.6	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**3.3**	**-0.2**	**1.8**	**1.1**	**0.4**	**0.3**	**0.6**	**0.4**	**0.6**	**-0.1**	**-0.3**	**2.5**	**0.1**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**20.5**	**19.2**	**18.5**	**17.4**	**16.5**	**15.9**	**16.0**	**13.0**	**14.6**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**216.2**	**153.5**	**143.6**	**131.2**	**113.6**	**107.1**	**108.4**	**77.7**	**69.6**		
Debt service-to-revenue and grants ratio 3/	**3.8**	**7.4**	**10.4**	**12.6**	**15.8**	**14.0**	**10.3**	**11.2**	**15.8**	**23.9**	**19.5**		
Gross financing need 4/	-0.1	2.1	1.3	2.7	3.1	2.9	1.9	2.3	3.3	4.4	5.9		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	5.8	4.4	1.7	5.4	6.4	6.9	6.7	6.8	6.6	4.8	4.3	**5.7**	**5.7**
Average nominal interest rate on external debt (in percent)	0.3	0.7	0.8	1.9	1.9	1.6	1.5	1.3	1.3	1.9	2.3	**0.5**	**1.6**
Average real interest rate on domestic debt (in percent)	-23.0	-3.8	-6.3	-14.3	-4.3	-5.1	-5.1	-4.3	-3.4	-1.4	-0.1	**-8.7**	**-4.2**
Real exchange rate depreciation (in percent, + indicates depreciation)	-19.0	0.1	11.8	...	...	...	...	...	...	...	...	**0.2**	**...**
Inflation rate (GDP deflator, in percent)	29.8	4.0	6.7	16.7	4.8	6.0	5.8	5.1	5.2	5.3	5.5	**11.0**	**6.4**
Growth of real primary spending (deflated by GDP deflator, in percent)	12.1	22.8	-20.6	46.1	9.0	9.7	10.8	10.9	8.4	6.6	7.7	**3.4**	**11.6**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	2.7	1.4	-2.6	1.4	1.3	1.6	1.1	1.3	1.0	1.1	1.0	**0.5**	**1.3**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central, state, and local governments, central bank, government-guaranteed debt, non-guaranteed SOE debt . Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Democratic Republic of the Congo: Sensitivity Analysis for Key Indicators of PPG External Debt, 2021–31

(in percent)

	Projections 1/										
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
	PV of debt-to GDP ratio										
Baseline	13	13	13	12	12	11	11	11	10	10	9
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	13	15	16	18	19	20	21	21	21	22	22
B. Bound Tests											
B1. Real GDP growth	13	13	14	14	13	13	12	12	11	11	10
B2. Primary balance	13	13	14	14	13	13	12	12	11	11	10
B3. Exports	13	20	**32**	**31**	29	28	28	27	25	24	22
B4. Other flows 3/	13	15	18	17	16	16	15	15	14	13	12
B5. Depreciation	13	16	14	14	13	13	12	12	11	11	10
B6. Combination of B1-B5	13	19	21	20	19	18	18	17	16	15	14
C. Tailored Tests											
C1. Combined contingent liabilities	13	16	17	16	16	15	15	14	14	13	13
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	13	17	22	21	20	19	19	18	17	16	15
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	30	30	30	30	30	30	30	30	30	30	30
	PV of debt-to-exports ratio										
Baseline	32	31	31	30	28	27	28	28	28	27	27
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	32	36	39	42	45	47	52	56	59	63	67
B. Bound Tests											
B1. Real GDP growth	32	31	31	30	28	27	28	28	28	27	27
B2. Primary balance	32	32	33	33	31	30	31	31	31	31	31
B3. Exports	32	61	121	116	110	106	108	110	109	106	104
B4. Other flows 3/	32	37	42	41	38	37	38	39	38	37	37
B5. Depreciation	32	31	27	27	25	24	25	25	25	24	24
B6. Combination of B1-B5	32	52	44	58	55	53	54	55	54	53	52
C. Tailored Tests											
C1. Combined contingent liabilities	32	38	40	39	38	37	38	38	38	38	38
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	32	51	59	56	52	49	49	50	49	48	47
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	140	140	140	140	140	140	140	140	140	140	140
	Debt service-to-exports ratio										
Baseline	3	3	3	2	2	2	3	3	3	3	3
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	3	3	3	3	3	3	3	4	4	4	5
B. Bound Tests											
B1. Real GDP growth	3	3	3	2	2	2	3	3	3	3	3
B2. Primary balance	3	3	3	2	2	2	3	3	3	3	3
B3. Exports	3	4	5	6	6	5	6	7	8	**10**	**10**
B4. Other flows 3/	3	3	3	3	3	2	3	3	4	4	4
B5. Depreciation	3	3	3	2	2	2	3	3	3	3	3
B6. Combination of B1-B5	3	4	4	4	4	3	4	5	6	6	6
C. Tailored Tests											
C1. Combined contingent liabilities	3	3	3	3	3	2	3	3	4	3	3
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	3	4	3	3	3	3	3	4	5	5	5
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	10	10	10	10	10	10	10	10	10	10	10
	Debt service-to-revenue ratio										
Baseline	10	11	9	7	7	6	7	8	8	7	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	10	11	9	8	8	7	8	9	10	9	9
B. Bound Tests											
B1. Real GDP growth	10	11	10	8	8	7	8	8	8	8	7
B2. Primary balance	10	11	9	7	7	6	7	8	8	7	7
B3. Exports	10	11	11	11	11	10	10	11	12	**14**	13
B4. Other flows 3/	10	11	9	8	8	7	8	8	9	9	8
B5. Depreciation	10	13	11	9	8	7	8	9	9	8	7
B6. Combination of B1-B5	10	11	11	9	9	8	9	9	11	10	9
C. Tailored Tests											
C1. Combined contingent liabilities	10	11	9	8	8	7	8	8	8	8	7
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	10	12	11	10	9	8	9	9	10	10	10
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	14	14	14	14	14	14	14	14	14	14	14

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Democratic Republic of the Congo: Sensitivity Analysis for Key Indicators of Public Debt, 2021–31

	Projections 1/										
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
PV of Debt-to-GDP Ratio											
Baseline	19	18	17	16	16	16	16	15	14	13	13
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	19	17	14	12	11	9	8	6	5	4	3
B. Bound Tests											
B1. Real GDP growth	19	20	21	21	21	23	23	24	24	24	24
B2. Primary balance	19	19	19	18	17	17	17	16	16	15	14
B3. Exports	19	25	**35**	33	32	31	30	30	28	26	25
B4. Other flows 3/	19	21	22	21	20	20	20	19	18	17	16
B5. Depreciation	19	21	18	16	15	14	13	12	10	9	7
B6. Combination of B1-B5	19	19	18	16	16	16	16	15	14	13	13
C. Tailored Tests											
C1. Combined contingent liabilities	19	25	23	21	20	20	20	19	18	17	17
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	19	20	21	23	24	26	27	27	27	27	28
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	35	35	35	35	35	35	35	35	35	35	35
PV of Debt-to-Revenue Ratio											
Baseline	153	144	131	114	107	108	103	96	91	83	78
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	153	129	106	84	71	64	52	41	32	23	17
B. Bound Tests											
B1. Real GDP growth	153	154	158	145	144	153	152	151	150	146	146
B2. Primary balance	153	151	145	125	117	118	112	105	99	90	85
B3. Exports	153	194	264	229	215	212	201	189	177	161	149
B4. Other flows 3/	153	163	168	146	137	138	130	122	115	104	97
B5. Depreciation	153	161	137	113	100	96	85	74	64	52	44
B6. Combination of B1-B5	153	146	136	114	107	108	103	96	91	83	78
C. Tailored Tests											
C1. Combined contingent liabilities	153	192	171	146	137	137	129	122	115	105	99
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	153	174	178	174	176	185	180	173	171	167	165
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	13	16	14	10	11	16	22	24	26	26	24
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	13	15	13	9	9	12	16	17	16	15	13
B. Bound Tests											
B1. Real GDP growth	13	16	18	17	19	26	34	36	39	39	37
B2. Primary balance	13	16	18	16	14	17	23	25	26	27	25
B3. Exports	13	16	15	14	14	19	25	27	30	32	30
B4. Other flows 3/	13	16	15	11	12	17	23	25	27	28	25
B5. Depreciation	13	16	16	10	12	16	22	24	26	25	23
B6. Combination of B1-B5	13	15	14	10	11	16	22	24	26	26	24
C. Tailored Tests											
C1. Combined contingent liabilities	13	16	39	21	16	19	24	26	27	27	25
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	13	18	16	13	23	32	39	39	40	41	39
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.